

Declaration Submission and Approval Policy

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Department: Finance and Compliance

Process Area: Domestic and International Declarations

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1. Purpose

This policy defines the standard process for creating, reviewing, approving, rejecting, and archiving finance-related declarations within the ERP system. Declarations are used to formally record financial commitments, payment requests, budget usage, travel-related approvals, and compliance-sensitive business events.

The purpose of this policy is to ensure that all declarations are processed consistently, approved by authorized personnel, and traceable through the ERP workflow.

2. Scope

This policy applies to:

- Domestic declarations
- International declarations
- Travel-related declarations
- Prepaid cost declarations

- Budget allocation declarations
- Payment request declarations
- Finance approval declarations

This policy applies to all employees, supervisors, budget owners, finance officers, and compliance reviewers involved in declaration workflows.

3. Declaration Creation

A declaration must be created in the ERP system when an employee or department requests official finance approval for a business activity. The declaration must include the following minimum information:

- Declaration case ID
- Requesting employee or department
- Declaration type
- Business purpose
- Budget number
- Cost center
- Estimated or actual amount
- Currency
- Required approval level
- Supporting document reference
- Submission timestamp

Incomplete declarations must not be submitted for approval.

4. Domestic Declaration Rules

Domestic declarations relate to transactions, payments, or business activities within the local country. These may include local travel, local supplier payments, domestic procurement, internal expense claims, and local project-related finance approvals.

Domestic declarations must include:

- Local budget number
- Local supplier or employee reference, if applicable
- Local currency amount
- Department approval
- Finance validation before payment

5. International Declaration Rules

International declarations relate to transactions or business activities involving foreign travel, overseas vendors, international payments, foreign currency expenses, or cross-border compliance requirements.

International declarations must include:

- Foreign currency amount
- Exchange rate source
- Country of transaction
- International supplier or travel reference
- Compliance review where required

- Finance Manager approval for high-value transactions

Declarations involving foreign currency must be reviewed for exchange rate accuracy and supporting documentation.

6. Approval Workflow

The standard declaration approval workflow is:

Step 1: Employee or requester creates declaration.

Step 2: Employee submits declaration for review.

Step 3: Supervisor validates business purpose.

Step 4: Budget Owner confirms budget availability.

Step 5: Finance Officer validates amount, currency, documents, and accounting details.

Step 6: Compliance Officer reviews the declaration if the transaction is sensitive or international.

Step 7: Finance Manager gives final approval if required.

Step 8: Declaration is marked approved, rejected, or returned for correction.

7. Approval Thresholds

The following approval thresholds apply unless a stricter department rule exists:

- Up to LKR 10,000: Supervisor approval and Finance Officer validation
- LKR 10,001 to LKR 50,000: Budget Owner approval required
- LKR 50,001 to LKR 250,000: Finance Manager approval required
- Above LKR 250,000: Senior Finance approval and compliance review required

- Any international declaration: Finance validation required
- Any high-risk declaration: Compliance review required

8. Rejection and Rework

A declaration may be rejected or returned for correction if:

- Mandatory fields are missing
- Budget number is invalid
- Amount does not match supporting documents
- Supporting documents are unclear or missing
- Approval authority is incorrect
- Duplicate declaration is detected
- Business justification is insufficient
- Compliance risk is identified

Returned declarations must be corrected by the requester and resubmitted through the ERP system.

9. Duplicate Declaration Control

The ERP system must check for possible duplicate declarations using:

- Case ID
- Employee ID
- Budget number

- Amount
- Vendor or claimant name
- Submission date
- Supporting document reference

Possible duplicate declarations must be flagged and reviewed before approval.

10. Required Audit Trail

Every declaration must maintain a complete audit trail including:

- Created timestamp
- Submitted timestamp
- Reviewer name or role
- Approval or rejection timestamp
- Activity name
- Approval comments
- Rework comments
- Final status
- Payment reference, if applicable

Manual approval outside the ERP system is not considered valid unless entered into the ERP system afterward with proper justification.

11. Status Definitions

The following statuses must be used consistently:

- Draft: Declaration is created but not submitted.
- Submitted: Declaration is awaiting review.
- Under Review: Declaration is being checked by supervisor, budget owner, finance, or compliance.
- Returned: Declaration requires correction.
- Approved: Declaration has received required approvals.
- Rejected: Declaration is not accepted.
- Payment Requested: Declaration has moved to payment processing.
- Completed: Declaration process is fully closed.

12. Linkage with Other ERP Records

A declaration may be linked to:

- Travel permits
- Prepaid travel cost records
- Employee expense claims
- Supplier invoices
- Payment records
- Budget allocation records
- Scanned supporting documents

The ERP system must preserve these relationships to support traceability, audit, and AI-based retrieval.

13. Compliance Requirements

International declarations, high-value declarations, and declarations involving sensitive cost centers must be reviewed for compliance. Finance and compliance teams must ensure that declarations follow internal control procedures, tax requirements, and anti-fraud controls.

14. Data Retention

Declaration records and supporting documents must be retained for at least 7 years or according to the organization's finance data retention policy. The ERP system must support retrieval of historical declaration records for audit, reporting, and investigation.

15. ERP Data Requirements

Each declaration record must contain:

- Case ID
- Declaration type
- Process type
- Activity sequence
- Employee or requester
- Role
- Budget number
- Amount
- Currency
- Approval status

- Supporting document IDs
- Event timestamps
- Rejection or rework reason, if applicable
- Linked payment request

16. Review Cycle

This policy must be reviewed annually by the Finance and Compliance Governance Unit.